

Rates must reflect inflation risks

IN LINE with expectations, the US Federal Reserve has raised interest rates by 25 basis points, lifting the target range of the federal funds rate to 3.75 to 4 per cent. The rationale behind the decision, which all committee members supported, is straightforward — inflation remains uncomfortably high. As Fed chair Kevin Warsh also acknowledged, “The plain fact is that inflation is too high and has been for too long.”

In August, US consumer prices rose 0.4 per cent on a seasonally adjusted basis (keeping the 12-month rate at 3.4 per cent), according to the US Bureau of Labour Statistics. Inflation was driven, in large part, by energy prices. Gas prices in the US are at \$4.43 a gallon, while diesel prices are at roughly \$6.4, up from \$3.7 a year ago, fuelling price pressures across the economy. The decision to raise rates is, however, at odds with US President Donald Trump’s desire for looser monetary policy. Only a few days ago, Trump posted on a social media platform, “High interest rates put the USA at a very unfair disadvantage, and I won’t allow that to happen”. The 10-year US bond yield is hovering around 5 per cent. Trump has, in the past, also rallied against the previous Fed chair Jerome Powell over the central bank’s interest rate decisions. Following the Fed’s decision, he posted, “LOWER THE INTEREST RATES FOR THE UNITED STATES OF AMERICA, AND FAST!”. But, considering the projections — inflation, based on the personal consumption expenditures price index, has been pegged at 3.7 per cent in 2026, 2.3 per cent in 2027 and 2.1 per cent in 2028 — it raises the odds of further rate hikes. A healthy labour market — surpassing expectations, 1.6 lakh jobs were added in August, while the unemployment rate remained at 4.1 per cent — will give greater space to policymakers to tackle inflation.

The US Fed is, however, not alone. Central banks across the world are also tightening rates. Last week, the European Central Bank also hiked interest rates by 25 basis points as it sees inflation remaining “well above target for an extended period”. Their decisions come only weeks ahead of the October meeting of the RBI’s monetary policy committee. Considering the price pressures in the economy and recent inflation projections, adjustments to the policy rates are needed.

Rise above the politics of greetings

OFFICIALLY, IT was a “routine transfer” for “public interest”. The political context, though, tells a different story. Hours before her transfer, a group called the Hindu Legal Fund claimed it had lodged a complaint with the West Bengal Home Secretary against IPS officer Bushara Bano, until recently the Additional SP of Kharagpur. The officer’s alleged offence was the greetings she used while speaking on video about her alma mater, Aligarh Muslim University, and praising its Residential Coaching Academy for helping her clear the UPSC exams. “She began with *assalamu alaikum*, used In-shallah... and did not use Vande Mataram or Jai Hind. A serving officer representing the Indian state should maintain neutrality and use national expressions,” according to the Hindu Legal Fund. The government’s opacity regarding the transfer strengthens the impression that it gave in to the demand.

Nothing in the All-India Service Rules prevents an officer from using religious or cultural greetings, especially in a private capacity. The inclusive secularism envisaged in the Indian Constitution — which officials and governments are meant to uphold — allows space for religious and cultural expression. By seemingly punishing an officer for words meant for a particular context and audience, West Bengal’s BJP government is, deliberately or not, making the same mistake as its predecessors.

For the better part of five decades, state capacity in West Bengal has been eroded by a politics that saw “the party” and its affiliates — whether the CPI(M) or Trinamool Congress — all but exercise a veto over all aspects of governance. Much of the anger against the TMC government and its “syndicate” stemmed precisely from the fact that it was at once both overbearing where it did not need to be and absent where it was needed; that the law and the rules were selectively applied. The Suvenudu Adhikari government, rather than focussing on correcting this lopsided deficit, seems to be deepening it. In a state that needs conversations and policies around jobs, education and industry, the focus seems to be on diet, “gerua yatra” and how a young officer says hello and goodbye. It sends a message not of “minimum government, maximum governance” but of government high-handedness. The Suvenudu Adhikari government needs to be responsible and responsive, not to social media trolls and fringe outfits, but to a more expansive and inclusive idea of “public interest”.

A reality check for an ancient myth

FOR TWO-and-a-half millennia, the Parthenon in Greece has been credited with an architectural sleight of hand that contributed to its perfection. Architects and art historians have insisted that its curved base and gently bulging columns were engineered to correct optical illusions — that without such precision, the temple would appear to sag in the middle, much like a deep-bellied hammock. It is a wonderful story about the intellectual legacy of the ancient Greeks. It is also, according to Oxford University professor Alain Goriely, almost entirely fiction. The mathematician’s new paper debunks the myth, finding the illusions either unsupported by evidence or too microscopic to have been engineered.

The myth’s genesis, it turns out, was not with Ictinus and Callicrates, the architects of Parthenon, but from Vitruvius, a Roman writing four centuries later, whose hearsay was mistaken by Renaissance scholars for eyewitness knowledge. Goriely calls this the “supreme knowledge fallacy” — the flattering assumption that a civilisation capable of extraordinary art must also have possessed a modern scientist’s grasp of optics. In truth, the Greeks were still arguing about whether sight worked by rays shooting out of the eye — extramission, as Plato and others believed — or into it, intramission, as argued by Democritus and his cohorts.

Beyond the mathematics, there is also, it would seem, another lesson in Goriely’s findings: On how readily admiration can manufacture glib explanations. In a post-truth age, with its penchant for optical illusions that bend reality to one’s liking, Goriely’s most subversive invitation is not to admire the Parthenon less but to look at it more carefully. There are many things that make a civilisation great. The ability to discern when our certainties need a reality check is one of them.

Release 2017-18 consumption data, put all doubt to rest

THERE HAS been considerable discussion in these pages on the accuracy and/or credibility of the GDP data for March-June 2026. My guess is that internationally also this debate has assumed importance. Given this, I hope I can be excused for penning another op-ed on the subject.

It is important to separate the commentary on Indian data into two broad categories — national accounts data, and other data. I have had the privilege of being a member of several government committees since 1998. In 2006, I was appointed as a member of India’s first statistical commission (2006-2009) under the leadership of the late Suresh Tendulkar. Interacting frequently with staff members of the NSS and national accounts division, I emerged with the following observation on keepers of the statistical frame (and flame): “Don’t build a road because you may have an accident”. Stated more favourably, official Indian statisticians would err on the side of “accuracy” or “precision”. If a road is not built, if knowledge is not advanced, so be it — we purists cannot be wrong.

It is for this reason that India has not undertaken the task of conducting a household income distribution survey. I have begged the authorities to do an income distribution survey since 1998.

Note that in conducting consumption surveys, India has been a pioneer in world statistical surveys; and we have not worried about survey consumption ranging between 55 and 60 per cent of consumption estimated via national accounts. India was the first country to outline poverty measurement.

The World Bank’s famous dollar-a-day poverty line was the Indian poverty line! The first household panel survey was conducted by NCAER, the Additional Rural Incomes Survey, 1968-69 to 1970-71; an honour shared with the University of Michigan Panel Study of Income Dynamics, which conducted the first panel in 1968.

South Asian countries like Sri Lanka, Pakistan and Bangladesh have been conducting income distribution surveys for years, and India has finally joined the world in this endeavour. Given the dissection and healthy criticism of Indian data, it is important to point out the overwhelmingly unhealthy analysis, let alone criticism, of one of the most successful development transitions in history — China. I myself have published, and discussed, the “fact” that China has shown the fastest-ever poverty reduction over the last 25 years. But how many of us have asked how China obtains this result? And how do the World Bank and IMF treat and analyse Chinese data on poverty?

They don’t. They accept at face value what China provides via deciles of income and consumption, for rural and urban China. What analysis? China conducts household surveys like India does. But no unit-level data has ever been released to the public. My best understanding is that China provides four excel files, one each for consumption and income, rural and urban. There are 12 observations in each file — the 10 deciles and possibly the 5 per cent and 95 per cent mean levels. On that basis,



SURJIT S BHALLA

The ‘unintended’ consequences of that censorship have become evident since then: No matter how good the data produced in India is, there will always be doubt, one that is exploited by political opponents

the world continues to applaud the Chinese poverty eradication miracle.

But nations living behind glass should not throw stones at those with steel veneers. One criticism of the Indian statistical apparatus that refuses to go away, precisely because it is unanimous, is this: Something happened to India’s statistics since 2014 – Indian data started being officially censored. That is the primary reason why, despite world-class improvements (not perfection, but we are not a developed country yet), the efforts on the GDP data are, well, questioned.

Examine the most widely known, and acknowledged, instance of censorship. After 2011-12, India undertook a consumption (and employment-unemployment) survey in 2017-18. There was no official report or data release of the 2017-18 consumption survey. After much reluctance, and internal debate, the 2017-18 employment survey was released (PLFS 2017-18). No such luck with the consumption survey. Why? Because the data showed (via leaked reports) that real mean consumption levels had declined by 3.7 per cent over the six-year period between 2011-12 and 2017-18; and rural consumption, where most of the poor are, declined by 8.8 per cent; urban per capita consumption rose by 2 per cent.

There is a lesson from what the Indian government had previously done when survey “findings” were unpalatable. NSS consumption surveys had been on a five-year schedule since 1983. The 2009-10 consumption survey results were

released in mid-July 2011. Because of the fear that there was a severe drought in 2009-10 (rainfall data did not confirm a drought) and the dampening effects of the Great Financial Crisis, the government had commissioned an unprecedented additional consumption survey for the agricultural year 2011-12 (July 2011 to June 2012). In other words, a new survey was already in the field when the results of the “old” survey were announced.

The Indian government had acted in the best, pioneering nature of the Indian statistical system. Be conservative (no income distribution survey!) but do not ever censor data.

The tragedy, and mistake, is deeper. I have participated in several analyses of Indian poverty data, including an analysis of what likely happened to consumption and poverty in 2017-18. In a 2019 article, co-authored with Karan Bhasin, we wrote: “It is important to release the unit-level data, if for no other reason than to let the world know just how bad the CES data is”.

I have reiterated that view several times, privately and in print. No need to endorse the data — just release it. The “unintended” consequences of that censorship have become evident since then: No matter how good the data produced in India is, there will always be doubt, one that is exploited by political opponents. There is an easy no-cost solution to this data and credibility crisis — in the name of god, release the unit-level 2017-18 consumption data.

The writer is chairperson of the Technical Expert Group for the first official Household Income Survey of India. Views are personal

An EV roadmap for a sustainable city



REKHA GUPTA

SEPTEMBER 17 marks Prime Minister Narendra Modi’s 76th birthday and the start of a month-long Seva Sankalp Abhiyan to mark 25 years of his uninterrupted leadership in government.

The nation is celebrating this occasion through the language that has defined his public life: Seva. In Delhi too, we are giving this spirit of *seva* a tangible form through several initiatives. Development projects worth more than Rs 13,000 crore are being inaugurated or launched during this campaign.

Pandit Deendayal Upadhyaya’s philosophy of Integral Humanism reminds us that the individual, society, nature, and the larger universe cannot be viewed in isolation. Development must restore harmony. PM Modi has brought this understanding into contemporary public policy. His vision of a developed India cannot be separated from the creation of cleaner, more efficient and resilient cities.

India’s electric mobility journey demonstrates how rapidly such a vision can translate into reality. Total electric vehicles (EV) sales have risen from just 2,322 in FY 2014-15 to 25,45,622 in FY 2025-26. The Delhi government’s Electric Vehicle Policy is designed for this.

The urgency is undeniable. A Commission for Air Quality Management assessment submitted to the Supreme Court in January identified vehicular emissions as the largest primary source of Delhi’s winter air pollution, accounting for approximately 23 per cent. Two-wheelers constitute nearly 67 per cent of Delhi’s vehicle stock, while three-wheelers, commercial vehicles, and goods carriers clock exceptionally high daily mileage. Electrifying these high-use segments can deliver great environmental benefits.

The Delhi EV Policy outlines a phased transition. From January 1, 2027, new registrations of L5 three-wheelers and N1 goods carriers will move to an electric-only framework, with two-wheelers following from April 1, 2028. Fleet aggregators and delivery-service providers are also being moved towards electric mobility, while school buses will progressively increase their electric share to 30 per cent by March 31, 2030.

Affordability is central. Electric two-wheelers will receive purchase support of up to Rs 30,000 in the first year, along with scrapping incentives, while eligible

N1 commercial vehicles can receive purchase support of up to Rs 1 lakh. For private car owners, the policy provides a ₹1 lakh scrapping incentive for scrapping a BS-IV or older car and purchasing an eligible electric car priced up to ₹30 lakh ex-showroom, along with a 100 per cent waiver of road tax and registration fees until March 31, 2030. The scrapping incentive is capped at the first one lakh eligible applicants.

The real backbone of this transition is infrastructure. Delhi is aiming for 32,000 public charging points, requiring approximately 23,000 additional points over the existing network. Delhi Transco Limited will serve as the nodal agency for public charging and battery-swapping infrastructure, and a high-powered committee chaired by the Chief Secretary will bring together the departments responsible for transport, power, planning, environment, and finance to drive implementation.

EV dealers will be required to provide public charging facilities, while new civil infrastructure created by the Delhi government, MCD, NDMC, and Delhi Cantonment Board will have to be EV-charging-ready from the design stage.

DISCOMs have also been asked to facilitate the installation of separate meters for home EV charging. Public transport will be a crucial pillar. Delhi already has more than 5,000 electric buses, with a target of up to 13,000 in the next few years.

The road ahead is not without challenges. Behavioural change takes time, and infrastructure must keep pace with demand. Industry, government, and citizens will all have responsibilities.

The Seva Sankalp Abhiyan reminds us that governance is ultimately about service. The green transition reminds us that service cannot be limited to the present generation. We owe a debt to those who will inherit the city we build.

This is perhaps where the meaning of September 17 becomes larger than a birthday celebration. It becomes an occasion to reflect on the India we want to build and the Delhi we want to leave behind.

The Prime Minister has often spoken of a developed India by 2047. As India moves towards a developed, self-reliant and sustainable future, Delhi is determined to not only witness that transformation, but drive it.

The writer is chief minister of Delhi



SALMAN SOZ

Proof of growth lies beyond GDP number

THE CONTROVERSY on the latest GDP report stems from concerns around methodology, transparency and the veracity of the underlying data. I will not re-litigate this controversy here. Instead, I want to explore what it means when experts suggest that the economy does not feel as if it is growing at 7.8 per cent.

Joseph Stiglitz has long argued that GDP can rise even as many citizens feel worse off. That’s why household incomes, consumption, and economic security matter. When an economy is booming, people should find better jobs, see real incomes rising, save and consume with greater confidence, while businesses invest because they expect demand to endure.

The government cites rising labour-force participation as evidence that employment is no longer a serious problem. In the years after the India Shining campaign, BJP leaders cited surveys showing the creation of some 60 million jobs under the first NDA government. Much of that increase consisted of self-employment driven by rural distress. We know how that ended. Something similar is happening now. In 2025, Labour Minister Mansukh Mandaviya cited a 19 per cent increase in agricultural employment. And the share of workers in agriculture has also risen in recent years. For a developing economy, that is troubling: Development normally means workers moving out of low-productivity farming, not back into it.

Real wages, especially in rural India, rose strongly during the high-growth years of the 2000s. But wage growth has been much weaker in the last decade even as corporate profitability surged. The government’s own Economic Survey noted that corporate profits rose by more than 22 per cent in FY 2023-24, while employment at the firms it examined increased by only around 1.5 per cent. During the boom years, 2003-04 to 2007-08, net household financial savings averaged more than 11 per cent of GDP. By 2025-26, they had fallen to 6.2 per cent, a level last seen in the early 1980s. Borrowing alone does not indicate distress, but the combination of weakening financial savings and rising consumption borrowing is not what a broad-based boom should look like.

Two-wheeler and passenger-vehicle sales rose sharply in the April-June quarter. But a quarter’s data does not make a decadal trend. Two-wheelers, the entry point to middle-class mobility, grew at nearly 11 per cent a year in the decade before 2014. In the decade after, growth fell to under 2 per cent; even through 2025-26, it is barely above 3 per cent. Passenger vehicles slowed too.

Finally, investment. The earlier boom saw the investment rate rise from roughly 27 per cent of GDP in 2003 to close to 39 per cent by 2008. Investment today remains well below the peak during the UPA era, though it has recovered to about 34 per cent of GDP. But who is doing the investing? Public capital expenditure has played a major role while private corporate investment has been far less exuberant than record profits might suggest. Net foreign direct investment, too, has been weak. If businesses saw a durable demand boom ahead, one would expect considerably greater urgency in adding capacity.

None of this means 7.8 per cent is fiction. What I am asking for is not a lower number, but a different kind of proof. Show me private investment rising on its own, not propped up by government spending. Show me real wages climbing the way they did in the boom years. Show me two-wheeler sales closing the gap with their old growth rate, not coasting on one good quarter. Show me the workforce moving off farms again.

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40 YEARS AGO

September 18, 1986



177 killed in South African mine

FIRE SPARKED off by a welding accident sent deadly chemical fumes billowing through a gold mine, killing at least 177 workers and injuring 235 in Kinross, South Africa, officials said. Rescue teams wearing breathing apparatus evacuated 2,200 men from the Kinross Gold Mines, 100 km east of Johannesburg.

US arsenal for germs warfare

THE PENTAGON is quietly increasing its

research into germs warfare. It is cloning some of the world’s rarest and deadliest of diseases to increase its arsenal for germs warfare. Critics are expressing fears that the US is laying the groundwork for a new biological weapons system.

PM on communalism

THE PRIME Minister, Rajiv Gandhi, made an appeal to keep religion and politics apart. Addressing a special Congress (I) convention at St Alberts College Grounds soon after his arrival in Cochin, he said the big-

gest threat to the country came not from outside but from within.

On Hindi, Tamil Nadu vs Centre

THE TAMIL Nadu Government has urged the Centre to withdraw its recent circular on use of Hindi in central government offices to avoid a law-and-order situation in the state. A “strongly” worded letter on the issue has been written to the PM, Rajiv Gandhi, by the state Finance Minister, V R Nedunchezhiyan, who also holds the Chief Minister’s portfolios in his absence.